SOME 187 NEW TANNERY OWNERS ARE LOOKING TO INVEST Rs 4,000 CRORE AND CREATING ONE LAKH DIRECT JOBS IN THE BARGAIN



upgradation of the CETP plant. The building plan is ready. I am hoping to start production within two years," says Mukhtarul Amin, a tanner from Kanpur who is setting up his fourth unit in the leather industry. Amin is planning to invest Rs 15-20 crore in this expansion. Like Amin, around 20 tannery owners with units in UP are keen on expanding operations with new units in the KLC. In all, the businessmen from Kanpur are likely to bring in over Rs 400 crore in investment.

Now home to some of the biggest names in leather export, KLC has an annual turnover of Rs 15,000 crore and exports products worth around Rs 7,500 crore. This, too, makes it an attractive destination for investors from Kanpur and Chennai.

KLC's success, though, has come the hard way, and after almost a quarter of a century. A brief rewind to its journey may perhaps help put things in better perspective.

A SHAKY START

The year was 1997. The country's apex court had ordered the shifting of 538 old, polluting tanneries from Kolkata to a self-contained zone with effluent treatment facilities. The complex was conceived at Bantala. M.L. Dalmiya & Co Ltd, owned by the late Jagmohan Dalmiya (the former BCCI president), won the bid and got 1,100 acres of land on lease. As a BOT (Build Operate Transfer) partner, he was to develop the land for the relocated units by 2002 as per the Supreme Court order. However, the developer kept on missing deadlines. Even for the installation of a basic CETP, mandatory for running tanneries, the government had to eventually step in. The CETP was commissioned in 2004 and the first tanneries began moving in from 2005.

The complex was a picture of desolation in those days. Imran Ahmad Khan, the general secretary of the Calcutta Leather Complex Tanners Association, who had invested Rs 7 crore in 2000, was shocked when he returned from Australia in 2013. Other than the four modules of CETP, which had the capacity to treat 20 MLD (million litres a day), there was practically nothing for tanners.

"We were just paying EMIs for our investment. Those days, the complex had no streetlights, no drinking water facility. Even HDPE (high-density polyethylene) pipelines for the transportation of toxic effluents from tanneries to the CETP had not been laid. Instead, brick sewers and inferior RCC (reinforced concrete) pipelines were hastily laid, which led to serious pollution," says a tannery owner who has had a unit in the KLC since its inception. The dumping of solid waste also led to nearby villages complaining of fish dying in ponds, vegetables rotting away in fields and sundry health hazards.

With sparse security inside a largely empty complex, tanners complained of harassment by extortionists—all valid reasons for the close to 600,000 people directly or indirectly associated with tanneries to blame the government and the developer alike.

Furthermore, there were no sewerage treatment plants (STPs) for around 50 leather goods manufacturing units that had clubbed together under the Indian Leather Products Association. There was scarcely any provision for drinking water, and reservoirs needed for washing leather were constructed without water pumping stations. The KLC was an embarrassment.